MARKET OPPORTUNITY BRIEF

THE INDIA OPPORTUNITY

Why India represents a strategic, high-growth market for Mexican tequila brands—and why entering now positions you ahead of the curve in one of the world's most dynamic premium spirits markets.

India is the fifth largest player in the global alcohol beverage market and one of the world's fastest-growing premium spirits markets. Yet Mexican tequila remains dramatically under-represented—creating a significant first-mover opportunity for brands that enter with the right positioning, institutional support, and compliance framework.

USD 68.75B Projected Market Size by 2034	**5.8%** Annual Growth Rate (CAGR 2025-2034)	**123,000** Annual Tequila Cases (2023)	**14,979** Tequila Import Shipments (TTM)

Market Fundamentals: Why India, Why Now

Demographic & Economic Drivers

- **1.4 billion consumers** with rapidly growing middle and upper-middle class
- **Rising disposable incomes** driving premiumization across categories
- **Young, urban population** (median age 28) with global tastes and willingness to experiment
- **Social acceptance increasing** particularly in metros (Mumbai, Delhi, Bangalore, Goa)
- **Aspirational consumption** favoring international brands with authentic heritage

Tequila-Specific Opportunity

- **Category under-developed** with only 123,000 cases vs. massive market potential
- **Limited authentic brands** present—most imports are mass-market labels
- **Cocktail culture booming** with premium bars, speakeasies, and craft cocktail movement
- **Blanco/Silver tequila preference** aligns with Indian taste for clear spirits
- **Early-stage education** creates opportunity to define category standards

Strategic Market Advantages for Mexican Brands

Consumer Trends Working in Your Favor

- Shift from whisky-dominated market to spirits diversification
- Growing appreciation for craft, artisanal, and heritage spirits
- Premiumization: Consumers trading up to higher-quality brands
- Hospitality expansion: Luxury hotels, premium bars, fine-dining growth
- E-commerce emergence for alcohol (select states, platforms emerging)

Competitive Landscape Reality

- Dominated by 2-3 major global brands (Jose Cuervo, Patron, Olmeca)
- Minimal presence of premium, craft, or terroir-driven tequila brands
- No strong mezcal category development—wide open opportunity
- Price points range USD 26-79, leaving room across segments
- Limited brand education = opportunity to shape consumer perception

The Reality Check: Challenges You Must Navigate

India is not an easy market—but it is a rewarding one for brands that enter strategically. You will face:
(1) Complex state-by-state excise regulations (28 states, 8 union territories, each with distinct rules),
(2) High import duties (150% base + state excise 30-100%),
(3) Advertising restrictions (no TV/print since 2008, creativity required),
(4) Fragmented distribution (relationships and local expertise critical),
(5) Long sales cycles (hospitality placements and distributor onboarding take time).

This is precisely why institutional support through MIBC matters—we've navigated these challenges for 15 years across México, Canada, and India.

Why Enter Now? The Timing Advantage

Early-Mover Positioning: Define tequila standards before market matures.

Hospitality Boom: Luxury hotel and F&B expansion accelerating post-pandemic

Cultural Curiosity: Mexican cuisine, culture gaining visibility in urban India.

Distribution Availability: Premium importers actively seeking new brands

Trade Agreements: India-Mexico bilateral trade growing, government support increasing

Price Insensitivity: Premium segment willing to pay for authenticity and quality.

The Strategic Opportunity: Build Now, Scale Later

India rewards patient, committed brands that invest in relationships, education, and quality positioning. The brands entering now—with proper institutional support, compliance expertise, and authentic storytelling—will establish category leadership as the market scales. By 2034, India's alcoholic beverages market will exceed USD 68 billion. The question is not whether tequila will grow in India—it will. The question is whether your brand will be positioned to capture that growth.